

PIVOT SIGNAL · PRACTICE GUIDE

Pivot Points & Signal Trading

How to trade institutional price levels — the four pivot methods, the signal lifecycle, position sizing and risk management. The compact guide to the three Pivot Signal Expert Advisors.

CHAPTER 02

The four pivot methods with the original formulas — and one example worked through four times.

CHAPTER 04

The signal lifecycle including an R-multiple table built from documented example signals.

CHAPTER 05

Position sizing, the 1 % rule and drawdown — with the arithmetic shown.

Chapters
8 of 8

Format
PDF guide · A4

Audience
EUR/USD, GBP/JPY, XAU/USD traders

Pivot Signal · pivot-signal.com · Telegram: t.me/pivotsignal1
This document is educational material. It contains no investment advice and no promise of profits. Trading CFDs and forex carries a high level of risk.

NAVIGATION

Contents

Eight chapters, from understanding price levels to a reviewed trading journal. Every worked example uses the original formulas of the Pivot Signal Expert Advisors.

01 **Why institutional levels work** — Fundamentals

The level as a reference point · The three market situations

02 **The four pivot methods** — Formulas & arithmetic

Classic · Fibonacci · Camarilla · Woodie compared

03 **The three situations, the matching EA** — Product logic

04 **The signal lifecycle** — Entry → TP1 → TP2 → SL

05 **Risk management** — Sizing & drawdown

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How to read this book

READ FIRST

Chapters 01 and 05. Once the logic of the level and of position sizing is clear, the rest is application.

THEN USE AS REFERENCE

Chapters 02 (formulas), 04 (signal states) and 07 (glossary). Chapter 02 is the only page to keep open next to your charts.

THEN APPLY

Chapter 06 (checklists) accompanies every trade. Chapter 03 chooses the system — the EA that matches the market condition.

FOR REFERENCE

Chapter 07 contains 25 technical terms with definitions — from pivot point to leverage. Every number in this guide comes from the original formulas of the Pivot Signal EAs and from documented example signals.

CHAPTER 01

Why institutional levels work

A pivot point is not a prediction. It is a reference point where algo trading happens — and therefore the place where movement begins or ends.

The level as a reference point

Large participants do not trade round numbers. They trade **derived levels**: the previous close, the prior session range, the opening price. From those three values you can compute the points where limit orders, take orders and execution-algorithm participants place their orders.

That creates a supply structure which is not random. A market where many participants watch the same reference point behaves differently at that point than at an arbitrary round price. **The level is a cause, not an indicator.**

> **CORE POINT**
>
> A pivot point does not say *"the price will rise"*. It says: *"here is a place where orders sit in the market"*. What happens next is decided by the market — not by the formula.

What a level is *not*

- **Not a buy signal.** A level is a reference, not a trigger. The trigger is confirmation: a reversal candle, a breakout with volume, a retest.
- **Not a substitute for context.** A level in a quiet market is a level without effect. Volatility and regime decide whether a level counts at all.
- **Not a law of nature.** The methods are conventions — widely used because they work, not because they are unchangeable.

What a level *is*

A **reference point that can be calculated in advance** with three properties that make it valuable for systematic decisions:

Objective

Derived from the high, low and close of the prior period — no interpretation, no gut feel.

Known ahead

Known before the next period opens. Levels can be planned, not only recognised in hindsight.

Divisible

R1–R3 and S1–S3 sit symmetrically around the pivot — and every risk/reward ratio follows from that.

The three market situations

Every market sits in exactly one of three regimes. They differ not in direction but in **structure** — and therefore in the right strategy.

Situation	How to recognise it	Correct logic	Pivot Signal EA
RANGE ↔ **Sideways**	The price swings between defined boundaries. The previous high and low are not broken. The range stays constant.	**Mean reversion.** Buy at the lower level, sell at the upper one — a return to the pivot is the normal case.	**Pivot Point EA** ↔️ Range / Sideways
BREAKOUT 💥 **Breakout**	A candle closes clearly above R1 or below S1 — usually on rising volume. The old range is left behind.	**Trend following.** The breakout is proof that a new range is starting. The entry happens with the breakout, not before it.	**Breakout EA** 💥 Breakout / News
TRENDING 📈 **Trend**	Higher highs and lower lows on the higher timeframe. Pullbacks hold the trend instead of contradicting it.	**Confirm the trend.** Pullbacks to the next level are bought as long as the higher-timeframe trend is intact.	**Trendfolge EA** 📈 Trending / Directional

> **THE MOST COMMON MISTAKE**
>
> Holding a mean-reversion trade through a trend — or chasing a breakout that dies on volume. **The strategy has to match the regime, not your wish.** That is exactly why there are three separate EAs instead of one all-purpose system: each logic fails in the other two regimes.

Why three systems instead of one

A universal system needs one logic that works in all three regimes — and that has never existed. What works is **one system per regime**, running in the condition it suits and staying silent in the others. Silence here is not a failure; it is the precondition for the right signal to carry weight.

CHAPTER 02

The four pivot methods

All four methods compute the same pivot in different ways and derive differently spaced resistance and support levels from it.

CLASSIC (FLOOR / STANDARD)

```
// P = (High + Low + Close) / 3
R1 = 2×P − Low      R2 = P + (High − Low)      R3 = High + 2×(P − Low)
S1 = 2×P − High     S2 = P − (High − Low)      S3 = Low − 2×(High − P)
```

The most widely used variant. The pivot is the equilibrium of the triangle formed by H, L and C. R2 and S2 sit symmetrically at ±range around P.

FIBONACCI

```
// P = (High + Low + Close) / 3   Range = High − Low
R1 = P + 0.382×Range   R2 = P + 0.618×Range   R3 = P + 1.000×Range
S1 = P − 0.382×Range   S2 = P − 0.618×Range   S3 = P − 1.000×Range
```

Same pivot, but the levels follow the Fibonacci retracements of the prior range. The levels sit **closer together** — R1 and S1 are only 0.382 of the range away from the pivot instead of roughly half.

CAMARILLA

```
// Range = High − Low   base is the Close, not the Pivot
R1 = C + Range×1.1/12   R2 = C + Range×1.1/6   R3 = C + Range×1.1/4
S1 = C − Range×1.1/12   S2 = C − Range×1.1/6   S3 = C − Range×1.1/4
```

Camarilla calculates **from the close** rather than from the pivot, and places the levels **very close** together. For intraday scalping on small timeframes these are the levels that get reacted to.

WOODIE

```
// P = (High + Low + 2×Close) / 4   the Close counts double
R1 = 2×P − Low      R2 = P + High − Low      R3 = High + 2×(P − Low)
S1 = 2×P − High     S2 = P − High + Low      S3 = Low − 2×(High − P)
```

Woodie weights the close twice, so it reacts more strongly to the opening price. Its levels sit further out than Classic.

> **RULE OF THUMB**
>
> The pivot is identical for Classic, Fibonacci and Camarilla. What differs is only where R1–R3 and S1–S3 are *placed*. Woodie is the only method with a different pivot — and the only one that needs the opening price.

One example, calculated four times

EUR/USD, H1 candle. **High 1.0850 · Low 1.0820 · Close 1.0840 · Open 1.0830.** That produces four sets of levels.

Level	Classic	Fibonacci	Camarilla	Woodie
Pivot	1.08367	1.08367	1.08367	1.08375
R1	1.08533	1.08481	1.08428	1.08550
R2	1.08667	1.08552	1.08455	1.08675
R3	1.08833	1.08667	1.08483	1.08850
S1	1.08233	1.08252	1.08373	1.08250
S2	1.08067	1.08181	1.08345	1.08075
S3	1.07933	1.08067	1.08317	1.07950

CLASSIC — WORKED THROUGH

```
P = (1.0850 + 1.0820 + 1.0840) / 3
  = 3.2510 / 3 = 1.08367

R1 = 2×1.08367 − 1.0820 = 1.08533
S1 = 2×1.08367 − 1.0850 = 1.08233
R2 = 1.08367 + 0.0030 = 1.08667
S2 = 1.08367 − 0.0030 = 1.08067
```

WOODIE — THE SPECIAL CASE

```
P = (1.0850 + 1.0820 + 2×1.0840) / 4
  = 4.3350 / 4 = 1.08375

The close counts double →
the pivot sits 0.8 pips above
the Classic pivot.

R1 = 2×1.08375 − 1.0820 = 1.08550
S2 = 1.08375 − 1.0850 + 1.0820 =
1.08075
```

WHAT THE TABLE SHOWS

Camarilla packs all six levels into 6 pips around the close — extremely reactive, but very easy to get stopped out. **Classic and Woodie place the levels furthest apart** (R3/S3 roughly 46 pips from the pivot) and leave room for trends. **Fibonacci sits in between** — the most balanced compromise for trading all three regimes.

Which method for which purpose

Method	Level spacing	Strength	Typical use
Classic	wide	The standard, universally understood, symmetric levels. Robust against outliers because all three inputs are weighted equally.	Multi-timeframe trading, trend following, whenever levels are traded as zones rather than as exact points.
Fibonacci	medium	Retracement-style levels, balanced between hit rate and target distance. The 0.618 is the most watched marker.	The default for combined systems: works in range and in trend.
Camarilla	very tight	Maximum reaction density around the close. Fast targets, high hit rate, short distance.	M5/M15 scalping, very short holding times, breakouts out of chop.
Woodie	wide	Reacts to the opening price — it identifies early whether the session starts with momentum or opens in balance.	Session open, trend-day filters, session-based logic.

PRACTICAL RULE

If you have to pick one method, take **Fibonacci**. Its level spacing sits between Classic and Camarilla, so it works in all three regimes and offers the best balance between hit rate and target distance. The Pivot Point EA works with Classic levels, the Breakout EA with breakout volume above R1/S1, the Trendfolge EA with Classic plus higher-timeframe confirmation.

The zone rule

A level is not a point, it is a **band**. Spread and volatility determine how wide that band is. A robust approach does not place the stop *exactly* on the level but **a buffer behind it** — otherwise the trade gets picked off by the wall of stops. The Pivot Signal EA uses **ATR(10)** for this: the average true range as a dynamic buffer unit that adapts automatically to market volatility.

WHY ATR INSTEAD OF FIXED PIPS

A fixed 20-pip buffer works for EUR/USD around 1.0850 and fails for gold around 2.350. ATR(10) measures the actual range of the last ten candles and scales the buffer with real volatility — that is the difference between a rule that works in one market and a rule that works in all of them.

CHAPTER 03

The three situations, the matching EA

Three EAs, three regimes, three logics. Each EA recognises its own situation by itself and stays silent in the other two.

↔️ RANGE / SIDEWAYS

Pivot Point EA

Logic: mean reversion. After a move into the zone, the EA buys at the lower levels (S1–S3) and sells at the upper ones (R1–R3). The target is the return to the pivot.

Fits when: the market is ranging and the previous session's range holds.

Risk: in a trend the stop gets run over — which is exactly why the EA identifies the regime first.

💥 BREAKOUT / NEWS

Breakout EA

Logic: breakout with volume confirmation. Only when a candle closes above R1 or below S1 and volume confirms does the breakout count as a signal.

Fits when: the old range is left behind and momentum builds.

Risk: false breakouts. That is why volume counts, and why the stop sits back at the breakout level.

📈 TRENDING / DIRECTIONAL

Trendfolge EA

Logic: confirmation on the higher timeframe, entry on the pullback to the next level. Market structure has to be intact.

Fits when: higher highs and lower lows are being formed.

Risk: false signals in sideways phases — hence the structure filters.

What all three have in common

- **Runs on MetaTrader 5** — all three as MQL5 Expert Advisors. No VPS needed; a normal MT5 desktop is enough.
- **Configurable risk per trade** — 1–2 % of the account by default.
- **Five timeframes** — signals run on M5, M15, H1, H4 and D1.
- **Trading symbols** — EUR/USD, GBP/JPY and XAU/USD.
- **ATR(10) for stop and SuperTrend** — the buffer scales with volatility instead of a fixed pip value.
- **Break-even logic** — after TP1 the stop moves to entry once the first part is in profit.
- **Demo phase before live** — 2–4 weeks of forward testing before real capital is used.
- **Verifiable history** — MyFXBook accounts make performance auditable.

CHAPTER 04

The signal lifecycle

Every signal walks the same path. If you know the states, you always know where you stand — and how much is still open.

STATE MACHINE

Status	Meaning	What you do
ACTIVE	The trade is open. Price sits between entry and SL, TP1 and TP2 have not been reached.	Do nothing. Neither add nor move the stop.
TP1_HIT	The first partial target was reached. The stop is normally at break-even now and the remainder runs to TP2.	Let the remainder run. Do not take the stop back.
TP2_HIT	The second target was reached. The trade is closed and the result is fixed.	Move the trade into the journal.
SL_HIT	The stop-loss was hit. The trade is closed.	Do not re-enter out of revenge. Review the journal.
CANCELLED	The trade was ended early — for example on a regime change.	Write down the reason. Most common reason: the market changed regime.

The four components of a signal

ENTRY

The entry price. Carried identically for long and short; the direction lives in the action (BUY / SELL).

STOP-LOSS

The loss limit. It defines the risk of the trade — and therefore the position size.

TP1 / TP2

Two partial targets. TP1 secures the trade, TP2 realises the full edge. Split is usually 50/50.

TIMEFRAME

M5, M15, H1, H4 or D1. It sets the holding time and therefore how quickly the stop works.

RULE

The stop-loss is never moved up (on a long) — the only permitted adjustment is the break-even step after TP1. Every other modification is emotional management, not part of the strategy.

Everything in R: the one number

The most important term in this chapter is **R** — the multiple of your own risk. A 30-pip gain is worthless without the risk stated: 30 pips at a 10-pip risk is **3R**, at a 60-pip risk only **0.5R**.

```
R = (result in pips) ÷ (stop-loss in pips)
```

The table below shows four documented signals, each evaluated with exactly this formula. The “risk” column is the distance from entry to stop-loss.

Signal	Entry	Stop-loss	Risk	TP1	TP2	TP1 in R	TP2 in R	50/50
EUR/USD BUY	1.0842	1.0820	22 pips	1.0870	1.0900	1.27R	2.64R	1.95R
XAU/USD SELL	2348.5	2362.0	13.5	2330.0	2315.0	1.37R	2.48R	1.93R
XAU/USD BUY	2335.2	2325.0	10.2	2350.0	2365.0	1.45R	2.92R	2.19R
EUR/USD SELL	1.0895	1.0915	20 pips	1.0865	1.0835	1.50R	3.00R	2.25R

> **THE MOST IMPORTANT INSIGHT**
>
> **The hit rate is almost irrelevant.** Look at the R values: none of these four signals is below 1.27R, the best is 3.00R. A system with a 40 % hit rate and an average of 1.9R is profitable. A system with a 60 % hit rate and 0.8R is not. **R first, hit rate second.**

WHY THE 50/50 SPLIT

Half is closed at TP1, the remainder runs to TP2. Result: roughly 1.9R to 2.3R instead of 1.3R on a full exit. In addition the stop is at break-even from TP1 — the trade can no longer lose.

THE CALCULATION THAT COUNTS

Expectancy = hit rate × average win in R − (1 − hit rate) × 1R. At a 45 % hit rate and an average of 1.9R: 0.45 × 1.9 − 0.55 × 1 ≈ **+0.31R per trade**. That is the number you scale.

CHAPTER 05

Risk management — the part that survives

Position size decides whether a strategy produces profit or ruin. Not the hit rate — the position size.

The 1 % rule, properly calculated

You risk a fixed fraction of your account per trade — **1 %** by default. The position size follows from that, and it is not optional: the stop-loss defines how many pips you lose if it goes wrong. The account size defines how many pips that is allowed to be.

Account size	Risk 1 %	Stop-loss	Cost per 1.00 lot	Position size	In units
$ 5,000	$ 50	20 pips	$ 200	0.25 lot	25,000
$ 10,000	$ 100	25 pips	$ 250	0.40 lot	40,000
$ 2,000	$ 20	35 pips	$ 350	0.06 lot	6,000

Worked through for the first row: one pip on EUR/USD at 1.00 lot (100,000 units) = $ 10. A 20-pip stop therefore costs $ 200 per full lot. Risk $ 50 ÷ $ 200 per lot = **0.25 lot**. For gold (XAU/USD) you compute in dollars per point — same formula, different unit.

THE RULE THAT DECIDES EVERYTHING

Position size is derived from the stop, not from the desired profit. At 2 % risk you need only 50 trades for a 100 % drawdown. At 1 % risk you need 100. That is the difference between a dip and the end.

The three protection rules of the Pivot Signal system

< 15 %
maximum drawdown with correct position sizing — the system's target

1 : 30
maximum recommended leverage; 1 : 100 only multiplies the mistake

≥ 1 : 1.5
minimum risk/reward ratio for every trade

Drawdown, leverage and the risk to the account

UNDERSTANDING DRAWDOWN

The **maximum drawdown** is the largest fall from the peak until the subsequent low — not the loss of a single trade but the whole descent. A 15 % drawdown means: from the account peak to the trough, 15 % was lost. Two consecutive 15 % drawdowns do not cost 30 %, they cost around 33 % — the loss works on the remaining capital.

```
100 % − 15 % = 85 %  →  85 % − 15 % = 72.25 %  →  72.25 % − 15 % = 61.4 %
```

LEVERAGE: THE RISK DOES NOT HIDE, IT MULTIPLIES

Leverage does not change the risk of a single trade — it changes how much capital is *blocked* to carry that risk. At 1 : 30 you control a position worth 30 % of the account with 1 % of your own capital. The gain is multiplied exactly like the loss. The only difference: leverage lets you **build larger positions than your risk management should allow** — and thereby destroy exactly what the position size was there to protect.

Hence: **risk per trade in percent, leverage as a maximum.** The system recommends a maximum of 1 : 30 — not because 1 : 100 is more dangerous, but because 1 : 100 makes it impossible to calculate your position size in a traceable way.

PORTFOLIO HEAT: SEVERAL OPEN POSITIONS

Holding two signals at once does not give you two independent risks. If both positions react to the same market — two EUR/USD signals, say — the total risk is the **sum**. The single position then looks harmless while the account is actually risking too much. The consequence: the **sum** of all open risks (in R) must not exceed the 1 % budget.

> **CHECK**
>
> Three open positions at 1 % risk each are 3 % of account risk — even though each single one is “only 1 %”. Risk management counts positions, not trades.

Handling losing days

A losing day is not a flaw in the system, it is the expected result of a strategy with a hit rate below 50 %. **The mistake is not the loss but the reaction** — raising the position size because “the account needs to catch up”. The 1 % rule applies on good days exactly as it does on bad ones.

CHAPTER 06

Checklists — before and after the trade

Checklists do not exist because traders fail to read them. They exist because they help in the exact moment when emotion takes over the decision.

BEFORE EVERY TRADE

- ☐ Regime identified? Range, breakout or trend — **and does the EA match?**
- ☐ Is the level far enough from the current price that the stop is not sitting in noise?
- ☐ Is an ATR buffer taken into account?
- ☐ Is the risk/reward ratio at least **1 : 1.5**?
- ☐ Is the risk **1 %** or less — including in the sum of all open positions?
- ☐ Does the position size fit both the account **and** the stop in pips?
- ☐ Was the position opened on the right timeframe?
- ☐ Is there an economic release that could invalidate the signal?

AFTER EVERY TRADE

- ☐ Result recorded in **R**, not in euros?
- ☐ Was the trade closed by rule — or moved out of fear?
- ☐ Was the stop moved? (Only break-even after TP1 is allowed.)
- ☐ Did the signal show the expected logic? (Regime change? Breakout without volume?)
- ☐ Screenshot of the chart anomaly saved?
- ☐ Is the **series** in the journal — not just the single trade?
- ☐ What is the one rule this trade improved?

THE JOURNAL IS THE REAL PRODUCT

A signal is a data point. Only the series of dozens of signals shows whether the strategy works — and whether you are executing it correctly. A trade without a journal entry did not happen.

Seven failure patterns — and the correction

0. **Sizing by feel.** “The account is small, so a smaller lot.” No — the position size follows from account size and stop distance. A stop that is too tight produces a position too small to cover the costs.
   Correction: measure the stop in pips, fix 1 %, then calculate the lot size from it.
0. **Stop behind the level without a buffer.** The price turns 2 pips before the level, your stop sits exactly on the level → stopped out, then the trade runs.
   Correction: ATR(10) buffer behind the level.
0. **Widening the stop.** “The trade needs more room.” No — the stop defines the risk. If it is widened, the risk rises unnoticed.
   Correction: the stop is fixed. The only exception is break-even after TP1.
0. **The wrong logic in the wrong market.** The Pivot Point EA runs in a trend and loses by design.
   Correction: identify the regime before every signal — the EAs do it, manual trading has to as well.
0. **Not taking TP1.** The whole trade runs to TP2 and TP1 is ignored — then break-even is never active and a loss stays a loss.
   Correction: 50/50 split as the default.
0. **Trading every signal at once.** The hit rate does not drop, but account risk doubles.
   Correction: watch portfolio heat — sum of all open risks ≤ 1 %.
0. **Going live before testing.** Two to four weeks of forward testing on demo, then live. The test does not check the strategy — it checks *your execution*.
   Correction: demo phase as a fixed stage before the first real trade.

CHAPTER 07

Glossary — 25 technical terms

The terms that appear in this guide and in the product documentation, identical to the public glossary page.

ATR (Average True Range)

A volatility indicator that measures the average range of price movement over a specified period. Used for stop-loss placement and position sizing. Pivot-Signal EA uses ATR(10) for SuperTrend calculation.

Backtest

Testing a trading strategy on historical price data to evaluate its performance before risking real money. Pivot-Signal recommends 2–4 weeks of demo (forward test) before going live — backtests alone don't capture live-market conditions.

Breakout

A price movement that breaks above resistance or below support, often with increased volume. Signals a potential new trend. The Pivot-Signal Breakout EA targets these setups with range detection and volume confirmation.

Currency Pair

A quote of two currencies, where the first is the base and the second is the quote. EUR/USD = how many USD per 1 EUR. Pivot-Signal EA currently trades EUR/USD, GBP/JPY, and XAU/USD.

Drawdown

The peak-to-trough decline of an account or strategy. Maximum drawdown is the largest loss from a peak before recovery. Pivot-Signal targets max drawdown < 15% with proper position sizing.

Expert Advisor (EA)

An automated trading program that runs on MetaTrader 5 and executes trades based on pre-programmed rules without manual intervention. Pivot-Signal offers three EAs: Pivot Point, Breakout, and Trendfolge.

Leverage

Borrowed capital that allows traders to control larger positions with less capital. 1:100 leverage means $1 controls $100. Higher leverage = higher risk. Pivot-Signal recommends max 1:30 leverage for safety.

Lot

A standardized unit of trade size. Standard lot = 100,000 units. Mini lot = 10,000. Micro lot = 1,000. Nano lot = 100. Pivot-Signal EA uses configurable lot size with 1–2% risk per trade.

Mean Reversion

A trading strategy that assumes prices will return to their average level after moving to an extreme. The Pivot Point EA uses this principle at S1/S2/S3 (long) and R1/R2/R3 (short) levels.

MetaTrader 5 (MT5)

A multi-asset trading platform supporting forex, stocks, futures, and crypto. Provides algorithmic trading via Expert Advisors in MQL5. Pivot-Signal EAs run exclusively on MT5.

MyFXBook

A third-party verification service that connects to MT4/MT5 accounts and publishes verified trading statistics. Pivot-Signal maintains verified MyFXBook accounts for transparent performance tracking.

Pip

The smallest standard price movement in a currency pair. For most pairs, 1 pip = 0.0001. For JPY pairs, 1 pip = 0.01. Pivot-Signal measures pips for SL/TP and SuperTrend buffer calculations.

Pivot Point

A price level calculated from the previous period's high, low, and close, used to identify potential support and resistance levels. Pivot-Signal EA calculates Daily, Weekly, and Monthly pivots with S1–S3 and R1–R3 levels.

Continued

Position Sizing

Determining the number of units (lots) to trade based on account size and risk tolerance. Typically 1–2% of account per trade. Pivot-Signal EA includes configurable risk % per trade.

Risk-Reward Ratio

The ratio of potential loss to potential profit on a trade. A 1:2 ratio means risking $1 to potentially make $2. Pivot-Signal targets minimum 1:1.5 R:R on all trades.

Spread

The difference between the bid (sell) and ask (buy) price. The cost of entering a trade. Tighter spreads are better for short-term strategies. Pivot-Signal uses partners with raw spreads from 0.0 pips.

SuperTrend

A trend-following indicator that plots a trailing stop line based on the Average True Range (ATR). Price above SuperTrend = uptrend, below = downtrend. Pivot-Signal monitors 8 timeframes (M5 to MN1).

Take Profit

A predetermined price at which a winning trade is automatically closed to lock in profit. Pivot-Signal EA sets TP1, TP2, TP3 at successive pivot levels (next 3 levels in trade direction).

Trend Following

A strategy that enters trades in the direction of the prevailing trend, riding momentum until reversal signals appear. The Trendfolge EA uses multi-timeframe trend following across 12+ instruments.

Resistance

A price level where selling interest is strong enough to prevent the price from rising further. Often identified by historical reactions or pivot R1/R2/R3 levels.

Slippage

The difference between the expected price of a trade and the actual execution price. Common during high volatility or low liquidity. Pivot-Signal EAs account for typical slippage in backtests.

Stop Loss

A predetermined price at which a losing trade is automatically closed to limit further loss. Pivot-Signal EA places SL at fixed 10 pips (Pivot) or at SuperTrend candle-close break (ST).

Support

A price level where buying interest is strong enough to prevent the price from falling further. Often identified by historical reactions or pivot S1/S2/S3 levels.

Timeframe

The chart interval used for analysis. Pivot-Signal EA uses D1 (daily), W1 (weekly), and MN1 (monthly) for pivots; M5/M15/M30/H1/H4/D1/W1/MN1 for SuperTrend.

Volatility

The rate at which price changes over time. Higher volatility = larger price swings = more opportunity but more risk. Pivot-Signal adapts SL/TP based on per-symbol volatility.

CHAPTER 08

FAQ & risk notice

The most common questions about getting started — and the notice that has to precede every trade.

WHAT IS AN EXPERT ADVISOR (EA)?

An Expert Advisor (EA) is an automated trading program that runs on the MetaTrader 5 platform. It uses pre-programmed trading rules, technical indicators, and algorithms to identify setups and execute trades on your behalf — without manual intervention. Our EAs (Pivot Point, Breakout, Trendfolge) cover the three core trading strategies: mean-reversion at pivot levels, range breakout detection, and multi-timeframe trend following. Once installed, you can "set and forget" — the EA scans the markets 24/5, identifies high-probability setups, manages entries, sets stop-loss and take-profit levels, and exits trades according to strict, backtested rules. You stay in full control of risk parameters. See also: Investopedia: Expert Advisor .

DO I NEED TRADING EXPERIENCE?

No. The EA is fully automated — you install it, set your risk level, and let it run. We also provide a free trading practice guide (PDF) and the Telegram channel for ongoing support. Beginners are welcome.

WHICH BROKER DO I NEED TO USE?

We work with one regulated partner broker (Tier-1, segregated client funds, multiple licenses). The EA works on any MT5 account, but to receive the free license you need to fund a new account with this broker. Minimum deposit is $100.

CAN I TEST THE EA BEFORE PURCHASING?

Yes — 100% risk-free. Every EA comes with a free demo license for MT5 demo accounts, so you can test it in live market conditions without risking a single euro. We recommend running the demo for at least 2–4 weeks to see how the EA performs across different market conditions (trending, ranging, volatile). Additionally, all our EAs have verified MyFXBook accounts showing real-money performance — not just backtest results. Just run it on demo first for 2–4 weeks before going live.

ARE THERE ANY HIDDEN COSTS?

No hidden costs, period. You pay the one-time purchase price and own the EA forever — no monthly fees, no subscriptions, no commissions on trades. That's it. See the full pricing breakdown on our Expert Advisor page →

HOW DO I INSTALL THE EA IN MT5?

Installation takes about 5 minutes: download the .ex5 file → open MT5 Data Folder → paste into MQL5/Experts → restart MT5 → enable AutoTrading → drag the EA onto your chart. See the full step-by-step guide with screenshots → For the official MetaTrader 5 documentation, see MetaQuotes MT5 Help .

RISK NOTICE

Trading forex and CFDs carries a high level of risk to the capital invested. Because of the possible complexity of the products, it is not appropriate to trade them without thorough knowledge or advice. Past performance is no indicator of future results. **Only invest what you can afford to lose.** This document is educational material and does neither constitute investment advice nor promise any profits.

CHAPTER 08 · CLOSING

Risk notice & next steps

Before you go live: three steps in this order.

1 · DEMO PHASE

2–4 weeks of forward testing with all three EAs, on each of the five timeframes. Only then live — at 1 % risk.

2 · JOURNAL FROM DAY 1

Every signal in R, not in euros, with a screenshot. The first 20 trades are a learning phase, not an earning phase.

3 · IDENTIFY THE REGIME

Range, breakout or trend — and the EA that matches it. The wrong EA in the wrong regime loses by design.

RISK NOTICE

Trading forex and CFDs carries a high level of risk to the capital invested. Past performance is no indicator of future results. **Only invest what you can afford to lose.** This document is educational material and does neither constitute investment advice nor promise any profits.

NEXT

Pivot Signal · pivot-signal.com · Telegram channel: t.me/pivotsignal1
Three Expert Advisors for MetaTrader 5: **Pivot Point** (Range ↔️), **Breakout** (💥) and **Trendfolge** (📈) — €199 each, €397 as a bundle.
Every EA comes with a free demo license. The full glossary and the documentation are on pivot-signal.com.